



**KENYATTA UNIVERSITY**

**UNIVERSITY EXAMINATIONS 2014/2015**

**DIGITAL SCHOOL OF VIRTUAL AND OPEN LEARNING**

**SECOND SEMESTER EXAMINATION FOR THE DEGREE OF BACHELOR OF  
COMMERCE**

**BAC 305: FINANCIAL MARKETS AND INSTITUTIONS**

**DATE: TUESDAY 28<sup>TH</sup> APRIL 2015**

**TIME: 11.00 A.M. – 1.00 P.M.**

**INSTRUCTIONS: Answer ALL the questions.**

**Question one**

- (a) Changes in the financial regulatory framework has resulted in changes in the general regulatory architecture. As a result Kenya has decide to consolidate the regulatory authorities. Discuss the rationale for and against consolidation. (8 marks)
- (b) Discuss the various classifications of financial markets. (12 marks)

**Question two**

Capital markets in Kenya have expanded over the last few years. This expansion is due to:

- i) The initiatives of Capital Markets Authority
- ii) The introduction of new financial instruments
- iii) The appreciation of the role and functions of the capital markets by Kenyans.

**Required**

- (a) What are the roles of Capital Markets Authority? (3 marks)
- (b) Explain the meaning of the term “Financial Instrument”. (2 marks)
- (c) Describe the following investments which are available in the Kenyan Market today:
  - i. Treasury Bill (2 marks)
  - ii. Commercial paper (2 marks)
- (d) Discuss any three theories that explain term structure of interest rate. (6 marks)

- (e) Kethi Ndeti took a loan of KSh.2,000,000 for two years to be repaid in monthly installments. The total finance charges including interest add up to Ksh.116,000. Using the following methods, determine interest rates
- (i) N-method (2 marks)
  - (ii) Constant rate method (2 marks)
  - (iii) Direct-ratio method (2 marks)

### Question Three

Bancassurance model is one of the financial innovations adopted by financial institutions in Kenya.

Required:

- (a) Provide the advantage of the bancassurance model to commercial banks and insurance companies. (6 marks)
- (b) Indicate the six different forms of Bancassurance that can be adopted by commercial banks and insurance companies. (6 marks)

### Question Four

- (a) Briefly explain the term REPO and REVERSE REPO (2 marks)
- (b) Bank X wants to raise funds from Bank Y for fifteen days at a repo rate of 9.00% p.a. The securities for this transaction is an 8% semi-annual coupon (Coupon date 25<sup>th</sup> April and 25<sup>th</sup> October) of face value KSh500 million which is presently trading at 98.2 for 100 face value. Hence the amount that Bank x will borrow from Bank Y = Ex-interest price of the security + accrued interest based on 30/360 day count convention.

Required:

Determine the repurchase price of the REPO transaction. (5 marks)

- c) The following information is reported in a daily newspaper with respect to shares traded on the Nairobi Securities Exchange:

|   | Last 12 months<br>H<br>Shs. | L<br>Shs. | Security                        | Yesterday<br>Shs. | Previous<br>Deal<br>Shs. | Shares traded |
|---|-----------------------------|-----------|---------------------------------|-------------------|--------------------------|---------------|
| 1 | 200.00                      | 75.00     | Kakuzi Limited Ord.<br>Sh.5     | 120.00            | 130.00CD                 | 10,000        |
| 2 | 90.50                       | 43.50     | Express Kenya Ltd.<br>Ord. Sh.5 |                   | 43.50                    |               |
| 3 | 40.00                       | 4.00      | ATH Ltd. Ord. Sh.10             | Suspended         |                          |               |
| 4 | 362.00                      | 102.00    | Unga Ltd. Ord. Sh.5             | 317.00CB          | 318.00                   |               |
| 5 | 14.00                       | 90.00     | Barclays Bank Ltd.<br>Ord.Sh.10 | 90.00             | 90.00                    |               |

**Required**

- (i) Why does the price of a share change? (3 marks)
- (ii) What does the CD against Kakuzi's share price mean? (1 mark)
- (iii) Under the yesterday's column for Express Kenya Ltd., there is a dash (-).  
Explain. (1 mark)
- (iv) ATH is indicated as suspend. Explain why a company may be suspended from the  
stock exchange. (3 marks)
- (v) Explain the CB against the Unga share price. (1 mark)
- (vi) What is the meaning of the Ord. Sh.10 indicated against the Barclays Bank? (1 mark)

**(Total: 10 marks)**

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